

since the higher-cost company is probably facing comparably increased costs of doing business.

Profitability can be expressed in two ways. The fundamental way, which is the yardstick used by most managements, is the return on invested assets. This is the factor that will cause a company to decide whether to go ahead with a new product or process. What percent return can the company expect on the part of its capital invested in this particular way in comparison to what the return might be if the same amount of its assets was employed in some other way? It is considerably more difficult for the investor to use this yardstick than it is for the corporate executive. What the investor usually sees is not the return on a specific amount of present-day dollars utilized in a specific subdivision of the business but the total earnings of the business as a percentage of its total assets. When the cost of capital equipment has risen as much as it has in the last forty years, comparisons of the return on total invested capital between one company and another may be so distorted by variations in the price levels at which different companies made major expenditures that the figures are highly misleading. For this reason, comparing the profit margins per dollar of sales may be more helpful as long as one other point is kept in mind. This is that a company that has a high rate of sales in relation to assets may be a more profitable company than one with a higher profit margin to sales but a slower rate of sales turnover. For example, a company that has annual sales three times its assets can have a lower profit margin but make a lot more money than one that needs to employ a dollar of assets in order to obtain each dollar of annual sales. However, while from the standpoint of *profitability* return on investment must be considered as well as profit margin on sales, from the standpoint of *safety of investment* all the emphasis is on profit margin on sales. Thus if two companies were each to experience a 2 percent increase in operating costs and were unable to raise prices, the one with a 1 percent margin of profit would be running at a loss and might be wiped out, while, if the other had a 10 percent margin, the increased costs would wipe out only one-fifth of its profits.

There is one final matter to be kept in mind in order to place this dimension of conservative investing in proper perspective: In today's highly fluid and competitive business world, obtaining well-above-average profit margins or a high return on assets is so desirable that, whenever a company